236 lakh crore) on November 14, 2021, with Bitcoin, the most valued crypto, touching $64,862 (around Rs 54 lakh) a piece. Market capitalisation refers to the price of cryptocurrencies listed on crypto exchanges multiplied by the number of cryptos traded. India, which has nearly 40 small and large crypto exchanges, had an estimated 115 million investors trading on them as of August this year, according to data released by KuCoin, a global crypto exchange.

Even before regulators and policymakers around the world could understand the nature of the beast and chalk out ways to tame virtual currencies, the bubble burst. In November 2022, FTX, the world's second-largest crypto exchange, collapsed following a liquidity crisis. The fall of two other high-profile global crypto firms—Bitfront, a crypto exchange, and BlockFi, a crypto lender—happened in quick succession, triggering panic among investors and leading to the start of a collapse that has eventually pushed down the combined m-cap of cryptocurrencies to nearly one-third at $1 trillion (Rs 83.3 lakh crore) as on September 19, with Bitcoin's value at around $27,230 (Rs 23 lakh) a piece. In the past few months, hundreds of thousands of investors in India have seen their investments getting washed away. The Union government had already made it quite clear that it would never allow cryptos to become legal tender, and even proposed the Cryptocurrency and Regulation of Official Digital Currency Bill, 2021, to regulate it, but which has yet to be tabled in Parliament.

Even so, it was reluctant to ban cryptos, despite the Reserve Bank of India (RBI) almost stating that it wanted the Centre to bring the curtains down on cryptos, as China had done in 2021. Instead, the government saw a taxation opportunity and, in February 2022, announced a 30 per cent tax on profits from crypto trade and a 1 per cent tax deducted at source on all transactions. Moreover, it did not allow losses incurred on cryptocurrencies to be offset against profits from any other asset or business. Meanwhile, the RBI came up with its virtual version of the rupee, launching the Central Bank Digital Currency, commonly called the digital rupee, as a pilot project in the wholesale segment in November 2022 for use in the settlement of secondary market transactions in government securities, and in the retail segment a month later.

A CONSENSUS TO REGULATE

The G20 declaration sought to have more clarity on the repercussions of regulating cryptos and reach a consensus on their use and oversight

- The declaration called for the swift implementation of the Crypto-Asset Reporting Framework (CARF) and amendments to the Common Reporting Standard
- Under CARF, crypto transactions undertaken by Indians on foreign-domiciled crypto exchanges will also come under the purview of automatic exchange of information protocol
- The summit endorsed the Financial Stability Board's (FSB) recommendations for the regulation/ supervision of crypto-asset activities and markets and of global stablecoin arrangements
- It welcomed the IMF-FSB Synthesis Paper, including a roadmap, that will support a coordinated policy and regulatory framework considering the full range of risks
- It also welcomed the ongoing global implementation of the standards set by Financial Action Task Force to address money-laundering and terror financing risks
- G20 finance ministers and central bank governors will discuss taking forward the roadmap in October

THE G20 DECLARATION

The essence of the G20 declaration was to have more clarity on the global repercussions of regulating cryptos and reaching a consensus with other countries on its use and regulation. The joint declaration called for the swift implementation of the Crypto-Asset Reporting Framework (CARF) and amendments to the Common Reporting Standard (CRS). "We continue to closely monitor the risks of the fast-paced developments in the crypto asset ecosystem. We endorse the FSB's high-level recommendations for the regulation, supervision and oversight of crypto-assets activities and markets and of global stablecoin arrangements," the declaration said, adding that FSB and Standard Setting Bodies (SSBs) should promote the effective and timely implementation of these recommendations in a consistent manner globally to avoid regulatory arbitrage.

It also welcomed the International Monetary Fund (IMF)-FSB Synthesis Paper, including a roadmap, that will support a coordinated and comprehensive policy and regulatory framework taking into account the full range of risks, and those specific to the emerging market and developing economies and ongoing global implementa-